Meridian Actuarial Advisors LLC

www.meridianactuarial.com

June 21, 2020

Jason Wagner
General Manager
Martinez LLC

Dear Mr. Wagner:

Thank you for asking us to value the retiree medical plan that Martinez LLC provides to its former employees and their spouses. We appreciated the time you gave us to explain how the plan works and what the company needs from this valuation. This letter records what we agreed. It sets out the work, the people who will do it, the fee, and the terms that will govern our relationship. Please read it closely, because it is the document both of us will work from.

Scope of the Valuation

We will perform an actuarial valuation of the plan's obligation for retiree medical benefits. The valuation will cover current retirees, their covered dependents, and active employees who may become eligible for retiree coverage in the future. It will be performed as of a measurement date that we will confirm with you in writing before we request any data. The results are intended for the company's financial reporting under ASC Topic 715. They are not intended for setting retiree contributions, for budgeting, or for pricing a change to the plan, and they should not be used for those purposes without further work from us.

How We Will Go About It

We will build the valuation in the same order in which the obligation itself is built. First we gather and test the data: the census of retirees and dependents, the census of active employees, the plan document and any amendments, the summary plan description, the retiree contribution schedule, and the claims or premium history for the plan. Next we develop the expected cost of coverage at each age, which is the base for everything that follows. Only then do we set the assumptions and run the valuation.

Our report will keep three things in separate places. It will say what the data show. It will say what we assumed and why. It will say what we conclude from the two

together. Where a result depends heavily on a single assumption, such as the rate at which medical costs are expected to rise, we will show how the result changes when that assumption changes.

We will perform the work in accordance with the Actuarial Standards of Practice that apply to it, among them ASOP No. 6, which addresses the measurement of retiree group benefit obligations, and ASOP No. 23, which addresses data quality. We will rely on the data and plan information that the company and its administrators provide. We will review that information for reasonableness and internal consistency, but we will not audit it. If something does not hold together, we will raise it with you before we go further.

Under the accounting standard, the assumptions are ultimately the company's. In practice we will recommend each of them to you, with one exception. The discount rate is customarily selected by management with reference to yields on high-quality corporate bonds. We will supply information to support that choice, and we will tell you if a proposed rate falls outside what we consider reasonable, but the selection belongs to the company.

Our Team

I will lead the engagement and sign the actuarial opinion. Jennifer Vasquez, Consulting Actuary, will manage the work from day to day and will be your first call on any question. Jeffrey Ochoa, Actuarial Analyst, will build the claims and cost analysis and draft the review of assumptions. Amanda White, Actuarial Associate, will prepare the exhibits and check the calculations before anything is sent to you. We will ask you to name one person at the company to coordinate data requests with us. If you would prefer to do that yourself, we are glad to work with you directly.

Fee and Start of Work

We will begin work on July 1, 2020. Our fee for the engagement described in this letter is fixed at $118,500. That fee covers the data review, the valuation, a draft report for your comments, the final report, and a meeting with you to walk through the results. If the scope changes, for example if you ask us to price a plan amendment or to value a second plan, we will tell you the cost in writing and wait for your agreement before we do the work.

We would like the data request to go out in the first days of the engagement. For that to happen, we need the following from you before work begins:

- 1. A signed copy of this letter.

- 2. The name of the person who will coordinate data with us, if it is someone other than you.
- 3. The measurement date for the valuation and the fiscal year it supports.
- 4. A signed business associate agreement, which we will send under separate cover. The claims data may contain protected health information, and we will not accept a claims file until the agreement is in place.

Fees and Payment

We will invoice monthly for work performed. Taken together, the invoices will not exceed the fixed fee unless you have agreed in writing to a change in scope. Invoices are payable on receipt. Our ordinary expenses are included in the fee, and we do not bill separately for them.

Term and Termination

This engagement begins when you sign this letter and ends when we deliver the final report, unless one of us ends it sooner. Either of us may end it at any time by written notice to the other. If the engagement ends early, the company will pay for the work performed up to the day the notice is received, and we will return or destroy the data you provided, as you direct.

Confidentiality

We will hold the company's information, and the information about its employees, retirees and their families, in confidence. We will use it only for this engagement and will not disclose it to anyone outside our firm without your written consent, unless the law requires us to. We ask that files be sent through our secure file transfer site and not by ordinary email. Where the business associate agreement and this letter differ on the handling of health information, the agreement controls.

Reliance and Limitation of Liability

Our report will be prepared for Martinez LLC and for the purpose stated in it. The company's auditors may rely on it for that purpose. No one else may rely on it without our written consent. Our total liability to the company arising from this engagement, whether in contract or otherwise, will not exceed the fees paid to us under this letter, except where the law does not permit such a limit. Neither of us will be liable to the other for lost profits or other indirect damages.

Governing Law

This letter and the work it covers are governed by the laws of the state where our principal office is located. If any provision is found to be unenforceable, the others remain in effect.

Acceptance

If this letter reflects your understanding, please sign on the line provided for the company below and return a copy to me or to Jennifer Vasquez. If anything in it differs from what you expected, please call me before you sign, and we will correct it. We look forward to working with you and your staff on this valuation.

Sincerely,

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Robert Lawrence
Managing Actuary
Date: June 21, 2020

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Jason Wagner
General Manager, Martinez LLC
Date: June 21, 2020